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What Is Emergency Liquidity Support ?

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A Master Class Syllabus & Training Textbook on Short-Term Tactical Funding, Emergency Liquidity Lines, and Ad-Hoc Interbank Credit Substitutions in India

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Module 1: Theoretical Foundations and Product Philosophy of Emergency Liquidity Support

Emergency Liquidity Support (ELS) operates as a critical short-term credit mechanism within the Indian banking sector, designed to provide corporate entities, MSMEs, and financial institutions with immediate, temporary funding. Unlike standard ongoing revolving credit facilities such as Cash Credit (CC) lines or structured working capital limits, ELS is structured specifically as a non-revolving, rapid-drawdown safety net meant to bridge severe, unexpected cash flow mismatches.

The philosophy behind ELS centers on transaction-backed cash flow velocity and liquidity preservation. In a healthy commercial enterprise, the cash conversion cycle (CCC) maintains a steady flow from raw material procurement to inventory production, sales, and accounts receivable realization. However, external shocks—such as force majeure events, sudden supply chain disruptions, geopolitical bottlenecks, transport strikes, or credit downgrades of key trade buyers—can instantly freeze cash flow, threatening the firm's operational continuity.

Under traditional banking paradigms, resolving these sudden shortfalls would require lengthy credit reassessments, additional physical collateral pledges, and extensive credit committee approvals. This sluggish pace often leads to default, asset classification downgrades, and business failure. ELS shifts the underwriting focus from physical asset-heavy collateral audits to the underlying transaction value, cash flows, and repayment security. By substituting slow-moving tangible security with high-velocity, transaction-linked receivables, escrow mechanisms, and temporary bank limits, ELS injects rapid liquidity to keep the business operational.

A core structural foundation of ELS in India is the utilization of ad-hoc credit limits, temporary overdrafts (TODs), and structured short-term emergency lines. Historically, the Reserve Bank of India (RBI) banned Letters of Undertaking (LoUs) and Letters of Comfort (LoCs) in March 2018 for trade credits, which forced banks to design highly secure, domestic, and transaction-backed liquidity products. In times of crisis, a corporate borrower can draw upon an ELS limit (often structured as an ad-hoc sub-limit carved out of their primary working capital consortium limits) to cover immediate liabilities such as vendor payments, customs duties, electricity bills, and payroll.

Importantly, ELS is designed to be self-liquidating. The repayment is tied directly to a specific, imminent cash inflow—such as the realization of a major trade receivable, an approved long-term loan disbursement, a pending equity infusion, or a government subsidy. Because of this high-risk, time-sensitive nature, ELS is priced at a premium benchmark (MCLR/EBLR plus a higher risk spread) and is subject to strict regulatory monitoring under the RBI's IRACP (Income Recognition, Asset Classification, and Provisioning) guidelines.

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Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To understand the distinct role of Emergency Liquidity Support, rookies in finance must be able to contrast it against other common fund-based and non-fund-based credit products in India. The table below provides a comprehensive comparison mapping ELS alongside Cash Credit (CC), Working Capital Demand Loans (WCDL), Bridge Loans, and standard Term Loans across key operational and risk vectors.

This credit matrix highlights that ELS serves as an ultra-short-term, rapid-appraisal facility designed specifically for unforeseen cash crunches, carrying higher pricing and stricter call conditions than standard facilities.

Credit Product	Primary Intent	Repayment Structure	Tenure Range	Pricing Structure	Collateral Requirement
Emergency Liquidity Support	Bridging sudden cash mismatches, force majeure, shortfalls	Bullet payment from defined cash inflows/takeouts	15 to 90 Days (Ultra Short-Term)	MCLR/EBLR + high risk spread (typically 12% to 16% p.a.)	Second charge on assets, escrow control, corporate guarantees
Cash Credit (CC) Facility	Ongoing day-to-day working capital and operational expenses	Revolving line, interest paid monthly, annual review	12 Months (Renewable)	EBLR/MCLR + standard spread (typically 9.5% to 11.5% p.a.)	Primary hypothecation of moving stock and book debts
Working Capital Demand Loan	Fixed-term transaction-specific operational funding	Bullet or short installment, non-revolving	30 to 180 Days	Fixed rate tied to MCLR/Repo (typically 9% to 10.5% p.a.)	Hypothecation of inventories, receivables, margin reserves
Bridge Loan	Funding gap between equity rounds or major project loans	Bullet repayment from takeout event (IPO, venture round)	3 to 12 Months	High fixed rates / venture debt scales (typically 14% to 20% p.a.)	Pledge of promoter shares, second charges, escrows
Standard Term Loan	Capital expenditure, asset acquisition, capacity expansion	Equated Monthly Installments (EMIs), structured	3 to 10 Years (Long-Term)	Fixed or floating EBLR/MCLR (typically 8.5% to 11% p.a.)	Primary charge/mortgage on newly acquired capital assets

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Module 3: The End-to-End Operational Lifecycle of ELS

The operational flow of an Emergency Liquidity Support transaction must be swift yet strictly monitored to mitigate the high credit risks associated with sudden cash flow mismatches. The lifecycle is executed across five core chronological phases:

Phase 1: Limit Appraisal and Pre-Sanction Carve-out. The borrower establishes a pre-approved ad-hoc or emergency sub-limit during their annual credit review. For larger corporates, this limit is carved out of the overall working capital consortium limit, ensuring that the total exposure remains within the Maximum Permissible Bank Finance (MPBF).

Phase 2: Trigger Event and Emergency Drawdown Request. The borrower experiences a documented liquidity shock—such as a delayed export realization, a major buyer bankruptcy, or an unexpected supply chain freeze. The corporate submits a formal request detailing the emergency nature, the immediate fund requirement, and a clear, verified source of upcoming cash flow (the 'repayment trigger').

Phase 3: Real-Time Underwriting and 48-Hour Disbursement. The bank's credit risk team conducts a rapid appraisal. Utilizing Account Aggregator data, GSTN e-invoicing portals, and the borrower's active bank statements, the underwriter verifies the validity of the cash crunch. The bank enforces direct end-use control—disbursing funds directly via RTGS to vendors, custom departments, or employees to prevent capital diversion.

Phase 4: Active Monitoring and Escrow Tripartite Control. During the active tenure (typically 30 to 90 days), the bank routes all transactional inflows through a dedicated, lien-marked Escrow or Trust & Retention Account (TRA). The borrowing entity is required to maintain complete operational transparency, providing weekly updates on inventory movements and trade invoice collections.

Phase 5: Takeout Execution and Repayment Sweep. Upon the arrival of the designated takeout inflow (such as the buyer's payment, government subsidy, or long-term loan disbursement), the bank executes an automatic sweep of the escrow account, liquidating the ELS principal and accumulated interest. Once fully paid, the ad-hoc limit is reinstated or closed, and any remaining surplus is released back to the corporate's current account.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Given the rapid turnaround required for Emergency Liquidity Support, bank underwriters rely on a highly digitized, flow-based risk assessment framework. Traditional asset-heavy underwriting is substituted with transactional velocity metrics, ensuring that the borrower has sufficient short-term cash flows to service the debt.

Key Quantitative Credit Filters and Ratios:

1. Current Ratio & Net Working Capital: Underwriters evaluate the borrower's liquidity position using the Tandon Committee's Second Method of Lending. The borrower must demonstrate a minimum Current Ratio of 1.33:1, indicating that at least 25% of working capital requirements are met via long-term, non-debt sources. For small business emergency lines, the Projected Turnover Method (PTM / Nayak Committee) is used for exposures up to ₹5 Crores, sizing working capital at 25% of turnover with banks financing 20% and the promoter contributing 5% as margin.

2. Debt Service Coverage Ratio (DSCR): For ELS lines bridging project-related or multi-month shortfalls, the underwriter mandates a minimum DSCR of 1.25x. This ensures that the entity generates sufficient cash earnings to cover both principal and interest commitments.

3. Cash Flow Velocity & Escrow Ratios: The underwriter analyzes the velocity of bank account credits over the preceding 6 to 12 months. The ratio of monthly credit volumes to the requested ELS tranche must exceed 3.0x, ensuring that the borrower's active cash flow can easily digest the emergency liability.

Key Qualitative Underwriting Scorecards:

1. Promoter Personal CIBIL Score: The lead promoter or partners must maintain an individual CIBIL score of 700 or higher. Any history of recent personal defaults, credit card delinquencies, or unsecured loan write-offs instantly disqualifies the application.

2. CIBIL MSME Rank (CMR): MSME applicants are evaluated against the TransUnion CIBIL MSME Rank scorecard. Only entities with a rank of CMR 1 to CMR 4 (representing low to moderate credit risk) are eligible for ad-hoc emergency lines. CMR 5 and below require significant tangible collateral enhancements.

3. Bank Statement Analysis (BSA): Utilizing secure Account Aggregator (AA) integrations, underwriters run automated algorithms to check for inward/outward cheque returns, frequent overdraft limit utilizations, and payments to non-registered or high-risk entities. Any unexplained cash withdrawals or round-tripping of funds will trigger a system rejection.

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Module 5: Legal Security Architecture, Escrow Accounts, and Charge Creation

The high risk associated with short-term emergency lending demands a rigorous legal security architecture. Banks and financial institutions in India implement multi-layered legal agreements and charge creation protocols to ensure absolute priority in recovery:

1. Trust and Retention Account (TRA) / Escrow Tripartite Agreement: The primary security is the establishment of a Tripartite Escrow Agreement signed by the borrower, the discounting bank, and the corporate buyer. Under this contract, the buyer signs an irrevocable 'Non-Dispute Covenant' and 'No-Set-Off Agreement'—agreeing to route 100% of the invoice settlement directly to the bank's escrow account on the due date, completely waiving any rights to deduct discounts, transit damages, or counter-claims.

2. Hypothecation and Second Charge Creation: The bank secures a primary or secondary charge over the borrower's entire moving inventory and book debts. This is executed via a Supplemental Hypothecation Agreement, amending the master credit terms. Under Section 130 of the Transfer of Property Act, 1882, the bank registers an absolute assignment of the trade receivables as actionable claims.

3. Personal and Corporate Guarantees: To align the interests of the promoters with the bank, underwriters require unconditional personal guarantees from all major directors and stakeholders, along with corporate cross-guarantees from parent or subsidiary entities.

4. Statutory CERSAI Registration: To protect the lender against duplicate financing or double-pledging of receivables, the charge must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within the 10-day statutory window under the Factoring Regulation (Amendment) Act, 2021. Any delay in CERSAI filing invalidates the bank's priority claim in the event of bankruptcy.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Emergency Liquidity Support is highly tailored to specific industries that exhibit high transaction volumes, clear supply chain relationships, and vulnerability to external cash flow shocks:

1. Textiles and Apparel: High-volume manufacturing hubs like Surat, Tirupur, and Ludhiana face seasonal raw material price spikes and export payment delays. ELS lines are heavily utilized to bridge the 60-to-90 day gap between cotton procurement and final garment export realization.

2. Auto Components and Ancillaries: Automotive suppliers operate on tight just-in-time delivery models. A delay in payment from a major original equipment manufacturer (OEM) can freeze operations. ELS provides immediate capital to pay raw material vendors and maintain delivery schedules.

3. Chemicals and Pharmaceuticals: With long shipping timelines and complex regulatory clearances, pharmaceutical exporters utilize ELS to bridge capital tied up in transit and custom clearances.

4. Retail and Consumer Electronics: High-growth consumer electronics distributors operate under tight working capital parameters. Interestingly, recent SIDBI MSME Pulse reports and commercial credit data highlight that Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. This massive trade segment relies heavily on ad-hoc bank overdrafts and digital supply chain portals such as SBI's electronic Dealer Financing Scheme (e-DFS, outstanding at ₹49,261 Crores) and electronic Vendor Financing Scheme (e-VFS, outstanding at ₹28,092 Crores) to absorb sudden retail demand spikes or payment delays.

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Module 7: Commercial Pricing Mechanics, Cost-Benefit Ratios, and Interest Tax Shields

Given the high-velocity, high-risk profile of Emergency Liquidity Support, pricing is structured to balance the bank's credit risk with the borrower's urgent need for liquidity. The pricing components typically include: (1) Benchmark Rate (EBLR/MCLR) plus a credit risk spread, (2) One-time processing/arrangement fees, and (3) Late payment penal interest.

1. Benchmark Rates: For MSME borrowers, the interest is benchmarked against the bank's External Benchmark Linked Rate (EBLR) tied to the RBI Repo Rate, while larger corporates are priced on the Marginal Cost of Funds Based Lending Rate (MCLR) with an ad-hoc spread of 250 to 450 basis points.

2. Upfront Fees & GST Treatment: Banks charge a nominal processing or arrangement fee ranging from 0.25% to 0.75% of the sanctioned ELS limit. In accordance with Indian tax laws, all banking processing fees and credit commissions attract an 18% Goods and Services Tax (GST). Crucially, this 18% GST on fees is eligible for Input Tax Credit (ITC) if the corporate entity is registered under the GST Act. Conversely, the nominal interest paid on the ELS line is completely exempt from GST.

3. The Interest Tax Shield: Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for business purposes is fully deductible as a business expense. This provides a significant tax shield, lowering the effective annualized financing cost. The formula for the post-tax cost of ELS financing is:

Effective Post-Tax Cost = Pre-Tax Cost * (1 - Corporate Tax Rate)

For a corporate entity paying the standard corporate tax rate of 25.17%, a nominal ELS interest rate of 12.0% p.a. is reduced to an effective post-tax rate of 8.98% p.a., highlighting the tax efficiency of formal bank-intermediated credit.

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Module 8: Regulatory Compliance, RBI Guidelines, and IRACP Asset Classification

All banking operations in India must strictly adhere to the regulatory frameworks established by the Reserve Bank of India (RBI). Emergency Liquidity Support and ad-hoc credit limits are governed by precise compliance mandates to ensure financial stability:

1. RBI Guidelines on Ad-Hoc Working Capital Limits: The RBI mandates that ad-hoc limits should only be granted under exceptional, temporary circumstances to meet genuine, unforeseen credit requirements. Banks are prohibited from granting ad-hoc lines to cover up chronic operational inefficiencies or financial diversion. Under the Loan System for Delivery of Bank Credit, corporates with aggregate fund-based working capital limits of ₹150 Crores and above must maintain a minimum 60% 'loan component' (such as WCDL) and a maximum 40% revolving CC component, with ad-hoc ELS lines closely monitored as transaction-specific tranches.

2. RBI's IRACP Asset Classification Norms (2025 Guidelines): The bank's credit monitoring team is legally bound to track any overdue payments under strict IRACP timelines. The delinquency clock operates as follows:

- SMA-0: Principal or interest payment overdue for 1 to 30 days.

- SMA-1: Principal or interest payment overdue for 31 to 60 days.

- SMA-2: Principal or interest payment overdue for 61 to 90 days.

- Non-Performing Asset (NPA): If any ELS tranche remains overdue for more than 90 consecutive days, the entire working capital limit of the borrower is downgraded to a substandard NPA. Furthermore, any failure to review or renew ad-hoc limits within the 180-day technical window triggers an automatic NPA classification, initiating immediate legal recovery proceedings under the SARFAESI Act, 2002.

3. RBI Digital Lending Guidelines & DLG: Under the latest RBI Digital Lending guidelines, if the ELS line is sourced or managed through a digital lending platform or Fintech partner, any Default Loss Guarantee (DLG) or first-loss default guarantee arrangements with Loan Product Providers (LSPs) is strictly capped at 5% of the total loan portfolio value, ensuring that the primary credit risk remains on the regulated bank's balance sheet.

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Module 9: Comprehensive Real-World Case Study (Mumbai Auto Components Pvt. Ltd.)

To demonstrate the financial utility and pricing mechanics of Emergency Liquidity Support in Indian Rupees (₹), let us analyze a detailed operational scenario representing a typical supply chain bottleneck in the Indian automotive manufacturing ecosystem.

The Commercial Scenario: Mumbai Auto Components Pvt. Ltd. (MACPL) is a Tier-1 supplier to major Indian automobile manufacturers. MACPL has a stable operating revenue and pays corporate tax at the standard rate of 25.17%. Due to a sudden transport strike and shipping congestion, a major consignment of raw steel valued at ₹1,00,000,000 (₹10 Crores) is delayed, freezing MACPL's manufacturing operations. MACPL faces an immediate cash flow mismatch: it must pay ₹1,00,00,000 (₹1 Crore) to its specialized raw material vendor within 48 hours to secure a critical components batch, or face a contract penalty of ₹3,00,000 from the OEM buyer.

MACPL has a pre-sanctioned working capital limit with State Bank of India. It requests SBI to carve out a 90-day Emergency Liquidity Support (ELS) ad-hoc demand loan of ₹1,00,00,000.

Let us compare two strategic treasury pathways:

Pathway A: Refuse the ELS line. MACPL halts production, delays vendor payment, and incurs the ₹3,00,000 OEM contract penalty, alongside a critical damage to its vendor relationship and credit rating.

Pathway B: Drawdown the 90-day ELS line of ₹1,00,00,000 at a nominal interest rate of 12.00% p.a., paying a 0.25% upfront processing fee plus 18% GST.

The comparative mathematical analysis below outlines the cost-benefit ratio of Pathway B over Pathway A, demonstrating how a structured ELS line preserves enterprise value and provides direct tax shields.

Financial Metric / Cost Component	Pathway A (ELS Refused & Production Halt)	Pathway B (Structured ELS Tranche Drawn)
ELS Drawdown Principal Amount	₹0	₹1,00,00,000
ELS Tenure (90 Days / 365 Days)	N/A	0.246575 Years
Nominal Interest Rate (p.a.)	N/A	12.00% (EBLR + 250 bps spread)
Gross Interest Outlay (GST-exempt)	₹0	₹2,95,890.41
Upfront Arrangement / Processing Fee (0.25%)	₹0	₹25,000.00
GST on Processing Fee (18%)	₹0	₹4,500.00 (recoverable via ITC)
OEM Buyer Contract Penalty Incurred	₹3,00,000.00	₹0
Gross Finance / Penalty Cost Outlay	₹3,00,000.00	₹3,20,890.41
Income Tax Shield Benefit (25.17% tax rate)	₹0 (Penalty is non-deductible)	-₹80,767.12 (Interest + Fee are deductible)
Net Post-Tax Opportunity-Adjusted Cost	₹3,00,000.00	₹2,40,123.29
Strategic Savings & Intangible Benefits	Vendor relationship degraded; credit score hit	+₹59,876.71 Net Savings; vendor trust intact

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Module 10: 10-Question Professional Certification Examination

This examination is designed to test a trainee's absolute mastery of Emergency Liquidity Support mechanics, legal security architectures, and Indian regulatory compliance. Detailed answers and rationales are provided for each question.

Question 1: Under the RBI's IRACP guidelines, if an Emergency Liquidity Support (ELS) tranche of ₹1 Crore remains overdue for 45 consecutive days, what is the asset classification of this loan, and what are the implications for the borrower's primary Cash Credit (CC) limit?

Answer 1: The ELS tranche is classified as a Special Mention Account - 1 (SMA-1) because the overdue period is between 31 and 60 days. Under RBI rules, credit facilities are assessed at the borrower level rather than the individual loan level. Although the 90-day NPA downgrade has not yet been triggered, the SMA-1 status is reported to the Central Repository of Information on Large Credits (CRILC). This limits the borrower's ability to draw additional ad-hoc limits and prompts the bank's credit monitoring team to review the entire working capital portfolio.

Question 2: An underwriter is appraising an ELS limit of ₹5 Crores for an MSME chemical exporter with an annual turnover of ₹20 Crores. Under the Nayak Committee's Projected Turnover Method, what is the maximum working capital requirement, and what is the mandatory promoter contribution?

Answer 2: Under the Projected Turnover Method (PTM), the total working capital requirement is estimated at 25% of the projected turnover, which equals ₹5 Crores (25% of ₹20 Crores). Out of this, the bank provides credit for 20% of the turnover (₹4 Crores), and the promoter must contribute a minimum of 5% of the turnover (₹1 Crore) as margin/net working capital.

Question 3: Why are short-term corporate bridge loans or emergency lines generally prohibited from being sourced via External Commercial Borrowings (ECBs) under FEMA guidelines?

Answer 3: Under the RBI's FEMA Master Directions on External Commercial Borrowings, ECBs are subject to strict Minimum Average Maturity Period (MAMP) restrictions. Standard trade ECBs require a MAMP of 3 to 5 years, and any short-term borrowing for working capital purposes is heavily restricted. Because emergency liquidity lines require a tenure of 15 to 90 days, they violate the MAMP covenants, making domestic bank-intermediated credit the only legally viable route.

Question 4: What is the significance of Section 130 of the Transfer of Property Act, 1882 in the legal security architecture of transaction-backed Emergency Liquidity Support?

Answer 4: Section 130 of the Transfer of Property Act, 1882 governs the transfer and absolute assignment of 'actionable claims' (receivables and book debts). By executing an absolute assignment under this section, the borrower legally transfers the ownership of the trade buyer's invoice payments to the discounting bank. This ensures that in the event of the borrower's

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bankruptcy, the trade receivables belong strictly to the bank, preventing them from being liquidated as general assets of the borrower's estate.

Question 5: A corporate borrower pays an interest of ₹5,00,000 on an ad-hoc ELS limit and a processing fee of ₹50,000 (attracting 18% GST). Calculate the corporate's net post-tax financing cost if it operates at a corporate tax rate of 25.17% and utilizes the GST Input Tax Credit.

Answer 5: First, the 18% GST on the processing fee (18% of ₹50,000 = ₹9,000) is fully offset as Input Tax Credit (ITC) and is not a cost. The total pre-tax deductible expense is the interest of ₹5,00,000 plus the processing fee of ₹50,000, totaling ₹5,50,000. Applying the interest tax shield under Section 36(1)(iii) of the Income Tax Act, 1961, the tax savings equal ₹1,38,435 (25.17% of ₹5,50,00,00). The net post-tax cost of financing is ₹5,50,000 - ₹1,38,435 = ₹4,11,565.

Question 6: Explain the role of the 'Non-Dispute Covenant' in a tripartite escrow agreement for ELS invoice discounting.

Answer 6: The Non-Dispute Covenant is a legally binding statement signed by the corporate buyer under which they agree to pay the complete invoice value directly to the bank's escrow account without any set-offs, deductions, or counter-claims. This isolates the bank's credit risk from any commercial disputes (e.g., quality defects or late delivery) between the supplier and the buyer, shifting the risk strictly to the creditworthiness of the buyer.

Question 7: Under the 2021 Amendments to the Factoring Regulation Act, within how many days must a bank register the factoring charge on receivables with CERSAI, and what is the penalty for non-compliance?

Answer 7: Under the Factoring Regulation (Amendment) Act, 2021, all factoring and receivables charges must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within a strict 10-day statutory window. Failure to register within this period invalidates the bank's priority claim over the receivables, allowing other lenders or liquidators to claim the asset in bankruptcy.

Question 8: How does the RBI's 'Loan System for Delivery of Bank Credit' affect corporate borrowers with a fund-based working capital limit of ₹150 Crores and above?

Answer 8: For large corporate borrowers with aggregate working capital limits of ₹150 Crores and above, the RBI mandates that a minimum of 60% of the limit must be delivered as a 'loan component' (such as WCDL) rather than a revolving Cash Credit (CC) limit. This instils financial discipline, forcing the corporate to plan its liquidity needs in structured, non-revolving tranches, with ad-hoc ELS lines treated under rigorous post-facto cash flow monitoring.

Question 9: What are the consequences if a bank fails to review or renew a borrower's ad-hoc working capital limit within the RBI-mandated 180-day technical review window?

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Answer 9: If a bank fails to technically review, renew, or liquidate an ad-hoc or temporary working capital limit within 180 days from its sanction, the entire working capital credit facility of the borrower is downgraded to a substandard Non-Performing Asset (NPA). This occurs automatically under RBI IRACP rules, regardless of the active cash flows or repayment of other loan tranches.

Question 10: Under the RBI Digital Lending guidelines, what is the maximum percentage allowed for a Default Loss Guarantee (DLG) between a bank and a Fintech partner/LSP?

Answer 10: Under the latest RBI guidelines on Default Loss Guarantee (DLG) in Digital Lending, any first-loss default guarantee or credit enhancement arrangement between regulated lenders (banks/NBFCs) and Loan Service Providers (LSPs) or Fintech partners is strictly capped at 5.0% of the total loan portfolio value, ensuring that the primary credit underwriting risk is retained by the regulated banking institution.

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